

and contact information will be provided later. The credit reporting agencies merely supply your information to the creditors; the banks are in charge of deciding whether you're qualified for credit. The banks and the credit card companies pay the agencies a fee to get the scoop on you and how you are with your money. The credit reporting agencies compile and update your credit information and provide it to the creditors – and you, but only if you ask for it.

The Credit Report

The credit report includes all your standard personal information, plus it lists all the credit card companies and banks that you have transactions with. It can be many pages since it lists all your credit cards, mortgages, student loans, car loans, home equity loans, etc. Basically, the credit report is a detailed history of the life of you and your money, showing whether or not you pay your bills on time. Each of the three major credit reporting agencies has their own separate report, but they contain pretty much the same information.

The Credit Score

A “secret” mathematical formula is used to calculate your credit score. A higher score means you are more likely to pay your debts. The credit score system gets fairly complicated, and I'll go into more detail soon. In fact, I will probably go into more detail than you may expect, but it is important information for you to know.

According to TransUnion, an individual's credit score is a “mathematical calculation that reflects a consumer's credit worthiness. The score is an assessment of how likely a consumer is to pay his or her debts.” In the world of make-believe, a creditor could ask a person, “Will you repay this debt?” The person taking the loan would respond, “I solemnly swear that I will.” And the person giving the money would say, “Good enough for me!”

But we don't live in a fantasy world. Maybe the lenders can trust us, but we cannot trust them.